

NCBA Group: FY'21 Earnings Note

NCBA Group PAT increased by 123.67% y/y to **KES 10.22Bn** while the EPS grew by a similar margin to **KES 6.21,** both were above our expectations. Growth was driven by a 5.85% y/y increase in Total operating income to **KES 49.15Bn** and a 37.79% reduction in loan loss provisioning. Net-interest income grew at 6.06% to **KES 27.04Bn** mainly driven by income from government papers. Non-funded income grew by 5.59% to **KES 22.11Bn** on the back of increased digital transactions. Subsequently, the revenue mix for NII:NFI remained at 55:45 similar to FY'20 being one of the industry's best balance.

- **Loan book decline undermines balance sheet growth:** The bank's loan book declined 1.79% y/y to **KES 244.04Bn** with digital loans disbursed growing 34.56% y/y to **KES 584.00Bn**. Customer deposits grew 11.48% to **KES 469.89Bn** leading to the interest expense increasing 3.87% to **KES 19.48Bn.** Notably, allocation to government securities increased 33.79% y/y **to KES 208.81Bn** highlighting the prevailing lending apathy. Consequently, yield from assets declined to 9.67% while cost of funds also decreased to 4.18% as the bank's NIMs shrank to 5.62%.

- **Reduced expenses drives efficiency:** The Cost to income ratio inclusive of provisions remained flat at 42.18% mainly on the back of enhanced digital transactions and reduced provisioning. We also observed the bank going against industry trend of doing away with brick and mortar through opening 13 new branches in 2021 with plans to open 11 more in 2022. CTI performance was occasioned by a reduction in Total Operating Expenses (-16.45% y/y to **KES 33.45Bn**) compared to a 5.85% growth in Total Operating Income. Loan loss provision declined 37.79% y/y to **KES 12.72Bn** indicating a perception of reduced lending risk compared to FY'20. .

- **Asset quality concerns persists:** Gross NPLs increased by 12.05% y/y to **KES 44.34Bn**. NPL ratio increased by 134 bps to 16.02% from 14.68% in FY'20 above the current industry average of 13.10%. Consequently the NPL Coverage improved to 73.64% from 60.93% in FY'20. We expect the asset quality of the bank to improve due to enhanced loan collection efforts and the sector's recovery.

- **Valuation:** Dividend payment of an extra **KES 2.25** (taking total dividend to **KES 3.00**), was in line with our expectation, providing a dividend yield of 11.95%. The counter is currently trading below market valuation (PE at 10.40x) with a PE of 4.01x and P/TB of 0.52x. However, we remain underweight on the counter given the minimal upside potential and the trifling organic growth with an ROE of 13.61%, lower than most industry peers.

24th March 2022

Current price: KES 25.10

Target price: KES 28.29

Upside: 12.71%

52 Week High: KES 28.15

52 Week Low: KES 22.95

YTD Performance: -0.40%

EPS (FY21): KES 6.21

DPS (FY21): KES 3.00

NCBA 1-year Share Price Movement



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Outlook

The impressive net earnings print was driven by increased operating income supported by a decline in operating expenses after loan loss provisions and staff costs reduced. We take note of the improving efficiency through a positive Cost to income ratio figure underpinning merger synergy benefits and use of digital channels. The opening of new physical branches goes against industry trend of branch closure. We, however, remain concerned about the bank's high NPL ratio which we believe will improve in due to an improvement in the lending environment and approval of risk based models.

Table 1 : Financial Statement Summary

Income Statement	FY18	FY19	FY20	Q1'21	H1'21	Q3'21	FY21
Net Interest Income	20.28	13.34	25.49	6.59	13.43	20.20	27.04
Net non-Interest Income	16.14	20.32	20.94	5.24	10.70	16.08	22.11
Total Operating income	36.42	33.66	46.44	11.83	24.13	36.29	49.15
Provision for Impairment	(6.06)	(6.25)	(20.44)	(2.64)	(5.92)	(9.17)	(12.72)
Total Operating expenses	(24.15)	(20.36)	(40.03)	(7.77)	(16.33)	(24.68)	(33.45)
Profit before tax	12.27	11.31	4.98	3.87	7.41	11.06	15.03
Profit after tax	8.95	7.84	4.57	2.84	4.66	6.53	10.22
Core EPS	12.71	11.14	2.77	1.72	2.83	3.96	6.21
DPS	-	1.75	1.50	-	-	-	3.00

Balance Sheet	FY18	FY19	FY20	Q1'21	H1'21	Q3'21	FY21
Government Securities	129.73	145.02	163.55	172.57	190.79	210.70	218.81
Loans and Advances	239.58	249.36	248.50	243.14	239.60	238.17	244.04
Total Assets	453.61	494.84	527.95	542.11	542.60	562.63	591.09
Customer Deposits	341.03	378.24	421.50	434.21	437.34	447.62	469.89
Total Liabilities	387.21	427.58	455.41	467.50	468.16	487.65	513.10
Shareholder's Funds	66.03	66.99	72.35	74.41	74.27	74.82	77.86

Key Ratios	FY'2020	FY2021	y/y change
Yield from Assets	10.13%	9.67%	(0.45%)
Cost of funding	4.40%	4.18%	(0.22%)
Net Interest Margin	5.84%	5.62%	(0.21%)
Non-Performing Loans (NPL)	14.68%	16.02%	1.35%
Cost to Income Ratio	42.19%	42.18%	(0.01%)
Loan to Deposit Ratio	58.95%	51.94%	(7.02%)
Return on Average Equity	6.56%	13.61%	7.05%
Liquidity Ratio	55.06%	61.72%	6.66%
Core Capital/TRWA	17.53%	19.81%	2.28%
Total Capital/TRWA	17.70%	19.87%	2.17%

Source: Company Fillings, AIB-AXYS



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